

MEMO

To: Joelle Magyar and Jeff Hall

From: David Riley

Date: March 27, 2019

Re: Project Status Update

I am writing to clarify my sense of the status of various project issues and to identify the process followed to date.

Budget:

It is my understanding that the initial plan for allocating \$44,500,000 of bond proceeds was as follows:

\$ 5,000,000	for HS/MS improvements
\$ 500,000	for athletic improvements
\$ 1,100,000	for demolition of Chippewa, Highland and Hilton
\$37,900,000	for elementary school

It was my understanding based on discussion at a board meeting that the elementary school was the priority. I further understood that the HS/MS/athletic improvements would be adjusted based on the needs of the elementary school. There was concern early on that the \$37,900,000 budget for the elementary school set in 2017 may prove inadequate based on the 2018 bidding activity.

Once Shook came on board, we met at a series of core team meetings to evaluate the construction market and to "right size" the budget.

The revenue portion of the budget was revised to add an additional \$1,000,000 of projected interest earnings (in December, the Board allocated the interest earnings to the project). This is a conservative estimate based on having all the money to invest for a year and a half at 1.5% interest. The District will make more than 1.5% and will spend more slowly. Interest earned on the Capitalized Interest was directed to the Permanent Improvement Funds (estimated conservatively to be \$200,000).

The construction team's projection was that the elementary school would cost \$263 per square foot based on where similar projects had bid and recent estimates of the North Royalton Elementary School (estimated at \$275 per square foot but with some additional costs for sewer lines and other issues). Using \$263 per square foot and an estimated size of 155,000 square feet, the projected cost of the elementary school was \$40,750,000 or an increase of almost \$3,000,000 from the pre-bond estimate. The revised budget is as follows:

Revised Budget projection

Elementary School	\$40,750,000
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Demolition of 3 schools	\$ 1,100,000
HS/MS/Athletic	<u>\$ 3,650,000</u>
Total	\$45,500,000

Process

We have been following the process outlined in the Memorandum of Understanding with the City and approved by the Board.

The key section is as follows:

The Architect will present the Program of Requirements/Schematic Design, Design Development and GMP/Construction Document phases of design to each legislative body for their respective approvals. The CMR will present the respective budgets for approval at the time the Architect presents the design.

The POR/SD phase and the related estimating produced a series of approximately 40 drawings (includes civil and some structural engineering) and an estimate that is currently \$41.3 million. There are many contingencies built into that number. The Program of Requirements/Schematic Design phase was presented at the February Board meeting. If the Board desires, I can draft a resolution approving the SD Design Documents and the estimate.

The current schedule calls for the Design Development Documents (includes Mechanical, Plumbing and Electrical engineering and more structural and revised Civil) to be completed by the end of March. There will follow a 4-6 week estimating process where the Architect and CMR will each estimate the cost of the building. The two will reconcile the estimates and provide a single estimate to the owners. That estimate will need to be on budget (however, the budget is defined by the Board) or provide the Board with options to get to budget. I anticipate that we will come to the Owners in early June with the Design Development Documents and the reconciled estimate.

The final phase would be the Guaranteed Maximum Price Phase. Under this phase, the Board enters into an amendment to the Shook contract to build the building. This will be in the September/October timeframe.

We will follow whatever process the Board would like.